Republic of the Philippines
ENERGY REGULATORY COMMISSION
Pasig City

RESOLUTION NO. 17, SERIES OF 2025

A RESOLUTION AMENDING SECTIONS 1.4 and 2.2 OF RESOLUTION NO. 9, SERIES OF 2011, REQUIRING GENERATION COMPANIES AND DISTRIBUTION UTILITIES WHICH ARE NOT PUBLICLY LISTED TO OFFER AND SELL TO THE PUBLIC A PORTION OF NOT LESS THAN FIFTEEN PERCENT (15%) OF THEIR COMMON SHARES OF STOCK, PURSUANT TO SECTION 43(t) OF REPUBLIC ACT NO. 9136 AND RULE 3, SECTION 4(m) OF ITS IMPLEMENTING RULES AND REGULATIONS (IRR)

WHEREAS, Section 2(d) of Republic Act No. 9136, otherwise known as the Electric Power Industry Reform Act of 2001 (EPIRA) declares it the policy of the State to enhance the inflow of private capital and broaden the ownership base of the power generation, transmission, and distribution sectors;

WHEREAS, Section 43(t) of the EPIRA and Rule 3, Section 4(m) of its IRR provide that the Energy Regulatory Commission (ERC) shall perform such other regulatory functions as are appropriate and necessary in order to ensure the successful restructuring and modernization of the electric power industry, such as, but not limited to, the rules and guidelines under which generation companies and Distribution Utilities (DUs) which are not publicly listed shall offer and sell to the public a portion of not less than fifteen percent (15%) of their common shares of stock: Provided, however, that generation companies, DUs, or their respective holding companies that are already listed in the Philippine Stock Exchange (PSE) are deemed in compliance. For existing companies, such public offering shall be implemented not later than five (5) years from effectivity of this Act. New companies shall implement their respective public offerings not later than five (5) years from the issuance of their Certificate of Compliance (COC);

WHEREAS, on 17 August 2005, the ERC promulgated Resolution No. 18, Series of 2005, entitled "*Implementing Section 43(t) of Republic Act No. 9136 and Rule 3, Section 4(m) of the Implementing Rules and Regulations (IRR) of the said Act*", directing the generation companies and DUs which are not publicly listed in the PSE, to offer and sell to the public a portion of not less than fifteen percent (15%) of their common shares of stock and to submit, within thirty (30) days from public offering, reports to the ERC on the extent of their compliance therewith together with certifications from the PSE showing the number of shares listed, names of the shareholders presently owning said shares and other relevant information for monitoring and verification;

WHEREAS, on 23 May 2011, the ERC promulgated Resolution No. 09, Series of 2011, entitled, "*A Resolution Adopting the Rules Requiring Generation Companies and Distribution Utilities Which Are Not Publicly Listed to Offer and Sell to the Public a Portion of Not Less Than Fifteen Percent (15%) of Their Common Shares of Stock Pursuant to Section 43(t) of Republic Act No. 9136 and Rule 3, Section 4(m) of its Implementing Rules and Regulations (IRR)*";

WHEREAS, on 04 June 2019, the ERC promulgated Resolution No. 04, Series of 2019, entitled "*A Resolution Amending Resolution No. 9, Series of 2011 Requiring Generation Companies and Distribution Utilities Which Are Not Publicly Listed to Offer and Sell to the Public a Portion of Not Less Than Fifteen Percent (15%) of Their*

Common Shares of Stocks Pursuant to Section 43(t) of Republic Act No. 9136 and Rule 3, Section 4(m) of its Implementing Rules and Regulations (IRR)";

WHEREAS, Resolution No. 04, Series of 2019, clarified the modes deemed as "public offering" and amended Section 2.3, Article II, and Article III of Resolution No. 09, Series of 2011, to facilitate compliance by generation companies and DUs with the Public Offering Requirement (POR) under the EPIRA;

WHEREAS, on 09 December 2021, SMC Power Corporation (SCPC) filed a Petition for Rule-Making, seeking to amend Resolution No. 9, Series of 2011, and Resolution No. 4, Series of 2019, and *to include a provision expressly stating that generation companies and DUs with a publicly listed ultimate parent or holding company up to the reasonable sixth level of corporate relations, shall be deemed compliant with the Public Offering Requirement"*, docketed under ERC Case No. 2021-004 RM*;*

WHEREAS, SCPC's Petition for Rule-Making is pending resolution by the ERC*;*

WHEREAS, the ERC, while mindful of the need to ensure compliance with the POR under the EPIRA, is likewise cognizant of the challenges encountered by generation companies and DUs, particularly the small-scale industry participants*;*

WHEREAS, in as much as compliance with the POR has not yet reached the level of traction that the ERC has envisioned despite several amendments to resolutions and dialogue with stakeholders, the Commission has been constrained to issue Provisional Authorities to Operate (PAO) to generation companies;

WHEREAS, these PAOs were granted subject to the submission of sworn undertakings to comply with the POR, thereby allowing for the continued operation of these generation companies and the uninterrupted supply of electricity to the grid; and that, without such PAOs, there exists a substantial risk of power shortages and blackouts, which would consequently result in increased power rates;

WHEREAS, pursuant to the ERC's mandate to promulgate the implementing rules for the implementation of the POR under Section 43(t) of the EPIRA and to ensure the effective restructuring and modernization of the electric power industry, and in order to streamline the enforcement of the POR to align with PSE requirements for public listing, the Commission, during its Commission Meeting on 16 October 2025, **RESOLVED** to **ADOPT** the following amendments to Resolution No. 09, Series of 2011:

Section 1.4 of Article I and Section 2.2 of Article II of Resolution No. 9, Series of 2011 are amended to read as follows:

"**1.4 Definition of Terms**

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Control	Refers to the power to determine the management or policies of a corporation, whether through ownership of voting shares, by contract, or otherwise, consistent with the definition under existing securities and corporate laws. For the avoidance of doubt, a publicly-listed Holding Company shall be deemed to satisfy the POR on behalf of its controlled generation company or DU, provided that the ownership structure and

	control relationships, direct and indirect, are clearly established, documented and certified by the corporate secretary or authorized officer attesting to the accuracy of submitted information before the ERC.
	xxx
Holding Company	For purposes of the POR, shall refer to a juridical person: (1) holding a substantial portion of the voting stocks a generation company or distribution utility enough to Control or influence the management, policies or affairs of such generation company or distribution utility; or (2) whose primary purpose is to have Controlling interest in other companies. For clarity, a Holding Company shall include those that have an indirect Control or ownership of another company through one or more intermediary companies, rather than through direct ownership or interest.
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2.2 Period of Public Offering

The EPIRA requires that, for existing companies, the public offering shall be implemented not later than five (5) years from the effectivity thereof on June 26, 2001, or from the issuance of their respective COCs, for new companies. Considering that the period prescribed by the EPIRA for the public offering of existing companies already lapsed on June 25, 2006, and the impact of economic conditions on the success of the POR as well as the objective to streamline the enforcement of the POR with PSE's public listing requirements, the ERC establishes the following compliance period:

A) Within five (5) years from issuance of COC, provided that the generation company is already compliant with the PSE's prevailing listing requirements pertaining to a) Track Record of Profitable Operations, b) Positive Stockholders' Equity, c) Market Capitalization, d) Operating History, e) Minimum Capital Requirement, f) Minimum Number of Stockholders, and g) such other requirements ERC may hereafter impose;

B) Within five (5) years from the time the generation company is able to comply with all the above requirements for listing with the PSE; and

C) For distribution utilities, within five (5) years from the time they already qualify for listing with the PSE based on the above listing requirements or from the effectivity hereof, whichever comes later.

For this purpose, within thirty (30) days from possession of all applicable requirements for listing with the PSE, generation companies and DUs shall report such fact to the ERC and, within the same period,

initiate their application for listing with the PSE. Failure to comply shall result in administrative liability and the imposition of fines and penalties.

For the ERC's monitoring of their readiness and qualifications for PSE-listing, all generation companies and DUs that are not yet in compliance with the POR shall submit, no later than the 15th day of January of each year, a verified declaration by their responsible officers attesting to their companies': a) Financial Performance for the last three (3) years; b) Stockholders' Equity; c) Market Capitalization; d) Operating History; e) Authorized Capital Stock; f) Number of Stockholders; and g) such other material facts proving that they are not yet qualified to list with the PSE.

Failure to comply with the above reporting requirements shall result in administrative liability and imposition of fines and penalties, including cancellation of their COC or PAO, in the case of generation companies, and CPCN, in the case of distribution utilities, and issuance by the ERC of a closure order to them.

Once these generation companies, distribution utilities or their respective holding companies are already listed in the PSE, they shall be deemed in compliance with the POR."

Section 2. If for any reason, any part or section of this Resolution is declared unconstitutional or invalid, the other parts or sections hereof which are not affected shall continue to be in full force and effect.

Section 3. Any other ERC rules, regulations, guidelines, and other issuances inconsistent herewith are hereby deemed amended, repealed or modified accordingly.

Section 4. This Resolution shall take effect fifteen (15) days following its publication in a newspaper of general circulation or in the Official Gazette.

Let copies of this Resolution be furnished to the University of the Philippines Law Center - Office of the National Administrative Register (UPLC-ONAR), as well as published on the ERC's official website and such other online platforms available to the ERC.

Pasig City.

FRANCIS SATURNINO C. JUAN
Chairperson and CEO

FLORESINDA G. BALDO-DIGAL
Commissioner

MARKO ROMEO L. FUENTES
Commissioner

AMANTE A. LIBERATO
Commissioner

PARIS G. REAL
Commissioner

MOS: CMTB/ SOM

**Deliberated and approved during the 16 October 2025 Commission Meeting.*